

Robinhood Markets, Inc.

HOOD NASDAQ

Buy **\$107.22** ▲ 8.00%
 12M Price Target **\$125.00**
52-Week Range \$63.52 – \$153.86

Market Cap
 \$96.55B

HOOD: Schwab's Blowout Retail Numbers Lift The Whole Group

WHAT HAPPENED

- Stock ripped +8% today, and the tell is Schwab's earnings this morning — Schwab crushed estimates and specifically called out retail investors "piling into the market." That's a direct read-through for HOOD because they're the purest retail-trading play out there. If Schwab's boring customers are active, HOOD's degen customers are on fire.
- Bernstein put out a note saying HOOD's prediction markets business could eventually be bigger than their crypto business — that's a big claim, and combined with an analyst price target hike yesterday, sentiment flipped hard after a rough 4-day slide from \$115 to \$99.

WHY IT MATTERS

Here's what today really means: HOOD had been sold off 14% in a week on no real news — just profit-taking after a huge run. Schwab's print is the excuse to re-buy, because it confirms the underlying engine (retail volumes) is still running hot heading into HOOD's own earnings (typically early August). The Bernstein prediction-market call matters because it reframes HOOD from "crypto casino" into "the exchange for everything you can bet on" — sports, elections, econ data — which is a much bigger TAM and one the CFTC has effectively blessed under the current administration. Watch for a sympathy bid to continue if Interactive Brokers also beats this week.

POLICY & POLITICAL WATCH

The big one is the CLARITY Act and GENIUS Act — crypto market structure and stablecoin bills that Trump signed/advanced this year. These legitimize crypto trading rails, which is roughly 35-40% of HOOD's transaction revenue. Separately, the CFTC under Trump has been openly permissive on prediction/event contracts (Kalshi-style sports and election betting), and HOOD is aggressively expanding here — a hostile CFTC chair would kill this vertical, but that's not the current setup. Net-net: the regulatory environment for HOOD is the friendliest it's ever been, which is a huge part of why the stock is up ~70% YTD.

IS IT EXPENSIVE?

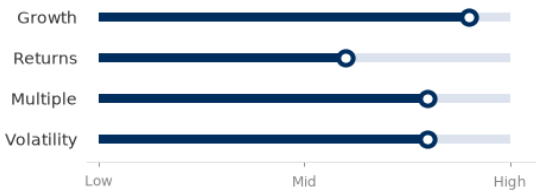
At ~\$107, HOOD trades around 22x forward revenue and roughly 58x forward earnings — meaning you're paying \$58 for every \$1 of profit they're expected to make next year. That's expensive vs. Schwab (~18x earnings) and IBKR (~28x), but HOOD is growing revenue 40-50% while those guys grow ~10-15%. The multiple is only justified if crypto volumes stay elevated and prediction markets actually scale — if either wobbles, this thing can compress fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$107.22
12M Price Target	\$125.00
Upside / (Downside)	+16.6%
Market Cap	\$96.55B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.55
Fwd P/E	57.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$120.00	\$110.00	\$95.00
6 Months	\$140.00	\$118.00	\$85.00
1 Year	\$165.00	\$125.00	\$75.00
2 Years	\$220.00	\$160.00	\$65.00
5 Years	\$350.00	\$220.00	\$55.00
10 Years	\$600.00	\$320.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Retail brokers and crypto-adjacent names — Schwab's beat confirms retail engagement is at multi-year highs, and the Trump admin's crypto-friendly stance keeps the tailwind blowing. Tech broadly +1.76% today as risk-on returns.

COOLING OFF: Defensive sectors and rate-sensitive names — money is leaving safety trades. Energy is quietly strong (+2% on the week) on geopolitical premium, but that's a separate story.

ROTATION WATCH: Money is rotating back into high-beta retail/fintech after a 5-day pullback — this is a classic "buy the dip on good news" setup, not a new leg up. If IBKR beats this week, expect another push.

RELATED PLAY: If HOOD's prediction-market thesis plays out, watch CME (they own event-contract infrastructure) and Coinbase (COIN) as the second-order beneficiaries of a friendlier CFTC.

WHO'S WINNING IN THIS SPACE?

- SCHW (Charles Schwab): Beat earnings on retail flow surge — the read-through that lit HOOD's fuse today
- COIN (Coinbase): Direct crypto-regulation beneficiary, moves in sympathy with HOOD on any CLARITY Act news

HOOD CONTEXT: HOOD is the highest-beta name in this group — it leads on the way up AND on the way down. Today's +8% vs. Schwab's more modest move tells you HOOD is still the market's preferred retail-trading expression, but that also means it'll get hit hardest on any risk-off day.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup into earnings and the policy backdrop, but I can't pound the table at \$107 after a 70% YTD run.

POSITION SIZE: 2-4% — this is a high-volatility name, so you want it big enough to matter but small enough that a 30% drawdown doesn't ruin your month.

ENTRY POINTS: I'd rather add on pullbacks to \$95-100 than chase here. If you're not in, wait for a red day — HOOD gives you 5-8% dips regularly.

TIME HORIZON: 12-18 months, with the near-term catalyst being Q2 earnings in early August and prediction-market user disclosures.

WHEN TO BAIL: If Q2 transaction revenue misses badly, if the CFTC changes its tune on event contracts, or if BTC breaks down through key support — any of those and I'm trimming hard.

HEDGING: Simplest hedge is just to size it smaller. If you want to get fancy, pair it with a small position in a boring, cash-generative financial (SCHW or even a bank) so you're not fully exposed to retail-mania cooling.